

MYCHAELA PAETOW

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EDUCATION

Ph.D., Economics , University of Southern California Fields: Environmental Economics, Development Economics	Expected 2027
B.S., Economics & Mathematics , Marquette University	2020

RELEVANT EXPERIENCE

Research Assistant , University of Southern California Advisors: Profs. Matt Kahn, Robert Metcalfe, and Paulina Oliva	2023–2024
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WORKS IN PROGRESS

“Internalizing Environmental Externalities: A Coasean Approach to Urban Solid Waste Management in Kampala, Uganda”

Joint with Aaron Berman (MIT) · Pilot concluded. Scale-up expected summer 2026.

Abstract: Cities in developing countries are generating increasing volumes of solid waste, straining existing waste management systems. Open dumping and burning are common means of disposal, generating meaningful environmental and health externalities, especially in low-income communities and informal settlements. We partner with the Kampala Capital City Authority to test a new intervention designed to deter dumping: installing nets to catch household solid waste that would otherwise flow through rainwater drainage channels, causing flooding downstream. We are piloting a mechanism to elicit downhill households’ willingness-to-pay, and uphill households’ willingness-to-accept, to install nets along shared drainage channels, facilitating Coasean bargaining to realign private and social costs from improper waste management practices.

“Environmental Scapegoating and the Political Economy Implications of Transboundary Pollution”

Joint with Seonmin Will Heo (UCSB) · Draft available upon request.

Abstract: Transboundary pollution is an increasingly common phenomenon that raises interesting and complex questions about environmental accountability and cooperation. In this paper, we study the political economy impact of transboundary PM_{2.5}. We obtain data on hourly particle trajectories to estimate how transboundary PM_{2.5} affects various political outcomes, including environmental legislation, regulatory behavior, and rhetoric. We introduce a novel mechanism — environmental scapegoating — to help explain the behavior of politicians faced with significant transboundary pollution inflows.

“Spatial Misallocation and Supply-Demand Feedback: Evidence from the Boda-Boda Market in Kampala, Uganda”

Joint with Juliana Pinillos (USC) and Santiago De Martini (USC) · DUA signed. Pilot expected summer 2026.

Abstract: We study spatial misallocation in the context of urban mototaxi markets in Kampala, Uganda. Using high-resolution trip data from SafeBoda, Uganda’s leading ride-hailing platform, we document that drivers cluster in a small set of locations while many neighborhoods remain underserved — not because latent demand is low, but because low driver presence discourages ride requests, which in turn discourages drivers from exploring new areas. We argue this feedback loop traps the market in an inefficient equilibrium driven by imperfect information and high search costs on both sides. To test this, we implement a field experiment that provides drivers with real-time information about high-demand areas while notifying riders of nearby driver availability. We expect that coordinated interventions targeting both sides of the market can break the feedback loop and generate welfare gains exceeding those of one-sided approaches, with implications for platform-mediated labor markets in developing economies.

“The Economics of Informal Recycling Markets: Evidence from Indonesia’s Waste Banks”

Joint with Aaron Berman (MIT) · Data collection concluded. Analysis ongoing.

Abstract: Many developing countries lack the state capacity for formal waste management, yet host large and active informal markets for recyclable materials. Despite their scale, little is known about how these markets operate, what drives participation, or whether they generate meaningful environmental benefits. Using a novel microdata set of over 600,000 transactions across 499 waste banks (*bank sampah*) in Indonesia, we study how these markets function and whether they reduce waste pollution. We estimate the price elasticity of plastic waste supply by instrumenting for endogenous waste bank prices with global crude oil prices, exploiting the differential sensitivity of plastic relative to paper, glass, and organic waste within the same bank and month. We then estimate the causal effect of waste bank establishment on terrestrial, riverine, and marine plastic pollution using staggered opening dates and satellite imagery.

“Private Markets for Public Goods: Understanding the Urban Spatial Distribution of Recycling Markets in India”

Joint with Vanshika Fotedar (USC)

Abstract: Can private markets deliver public goods in the presence of limited state capacity? We study this question in the context of private plastic recycling markets in Maharashtra, India. Informal recycling markets — in which households sell segregated plastic to local middlemen and aggregators — have grown substantially, yet little is known about where these markets emerge or how they interact with the public waste system. We combine ward-level data from the Swachh Survekshan Survey (2024) with a mapping of private plastic recycling operators across Maharashtra and an original survey of household-level plastic prices. Using a spatial model of household recycling decisions, we ask whether private recycling markets substitute for or complement state capacity, and estimate how access to private recyclers affects the flow of plastic waste to municipal landfills.

POLICY WRITINGS

“Reducing the Waste Burden in Ugandan Cities.” IGC Policy Note. Joint with Andrew Womer (IGC).

“Internalizing Environmental Externalities: A Coasean Approach to Urban Solid Waste Management in Kampala, Uganda.” IGC Policy Brief. Joint with Aaron Berman (MIT).

PRESENTATIONS

IGC Policy Workshop on Climate Change, Environmental Management, and Sustainable Growth Kampala, Uganda	2026
IGC Policy Webinar on Climate Policy and Uganda’s Sustainability Path	2025
IGC Climate Change II Workshop Kampala, Uganda	2024

FELLOWSHIPS, GRANTS, & AWARDS

Wrigley Institute for Environment and Sustainability Graduate Fellowship	2026
Institute for Humane Studies Grant	2026
CEGA Development Economics Challenge Grant (Spring)	2026
IGC PhD Summer Placement (Cities)	2026
USC Department of Economics Summer Research Award	2025
USC East Asian Studies Center Graduate Fellowship	2025
CEGA Development Economics Challenge Grant (Fall)	2024
IGC SPF Grant	2024
J-PAL K-CAI Travel and Proposal Grant	2024
USC Graduate School Travel/Research Award	2024
Outstanding Second-Year Paper Award, University of Southern California	2023
Provost Fellowship, University of Southern California	2021–Present

TEACHING

Teaching Assistant, University of Southern California 2022–Present
Intermediate Microeconomics (Fall 2022, Spring 2023, Fall 2024, Spring 2025)

Teaching Assistant, Marquette University 2019–2020
Calculus I (Fall 2019), Calculus II (Spring 2019), Theory of Probability (Fall 2020), Introductory Statistics (Fall 2020)

SERVICE & AFFILIATIONS

Organizer, USC Environmental and Urban Economics Workshop 2024–Present
Treasurer, Women in Economics, University of Southern California 2022–Present

REFEREEING

Journal of Environmental Economics & Management

TECHNICAL SKILLS

Programming: Python, R, LaTeX, Stata, MATLAB

Languages: English (Native), French

REFERENCES

Paulina Oliva (primary adviser)
Professor of Economics and Spatial Sciences
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